

International Corporate Finance – Fall Semester 2024/2025

Spicy Micy Ltd.

Ms Micy has been a 100% owner of Spicy Micy Ltd. for many years. The company is engaged in the processing and sale of spices. Its target market is mainly Hungary, but it also has partners in Slovakia as well. The company is estimated by Ms Micy to be the 3-4th largest player in the Hungarian market.

The company's product portfolio can be divided into three parts: paprika, pepper and herbs. Although several other products have been tried over the years (e.g., cinnamon, soup powder), Ms Micy has found that the three remaining products offer the highest returns. Compared to the purchase price of the raw material, paprika can be sold with a premium of HUF 525,000, pepper at HUF 500,000, and herbs at HUF 450,000 per ton in Hungary. For the export market, the company sells only paprika, which can be sold at a 20% higher premium in HUF terms in 2024 compared to the Hungarian price level (for simplicity, we will disregard any exchange rate gains/losses).

Ms Micy already has a pretty good idea of the 2024 sales and purchase prices, which are:

Turnover (ton)	2024
paprika	180
pepper	55
herbs	37
export (paprika)	110

Purchase price (per ton)	2024
paprika	1,352
pepper	1,361
herbs	1,487
export (paprika)	1,352

The cost of sales is the purchase of raw materials. The SG&A costs contain the monthly operating costs and the wages. The monthly operating costs (accounting, legal costs, telephone, internet, etc.) can be estimated at 700,000 HUF. In addition, Ms Micy rents the factory that is needed for the operation. The current sales volume is produced in four equally sized rooms in a larger factory building, for which she pays a monthly rent of HUF 6 million.

At present, the company has 7 employees: the managing director (who is a friend of Ms Micy from high school), one sales staff, an administrative colleague, one production managers and 4 skilled workers who deal with packaging and logistics. The gross monthly wage bill is 3.2 million HUF, which is very low, as Spicy Micy Ltd. The company is in an area of Hungary with a high unemployment rate, so it is easy to find cheap labor: for example, the gross monthly wage of a manual worker is HUF 232,000. Wages increase every year in line with inflation. Ms Micy says that for every 45 million increases in revenue compared to the previous year, it is appropriate to hire one additional skilled worker. The 45 million limit will increase each year by the rate of inflation.

The company is expected to have a stable supplier and customer base in the coming years. The average payment period for customers and suppliers will be 30 days, while the average inventory days will be 45 days. The operating cash should be sufficient to provide the company with one month's SG&A costs and two months' cost of sales. The firm's debt is determined based on the invested capital (IC) each year, adjusted at the end of the year so that 40% of the IC outstanding at the year-end is financed by debt in the following year (i.e., 40% should be available at the beginning of the year to be used during the year).

In each market segment, they estimate to achieve the following growth in the following years:

Sales growth	2025	2026	2027	2028
Domestic – paprika	25%	20%	12%	5%
Domestic – pepper	25%	15%	8%	5%
Domestic – herbs	20%	10%	5%	3%
Export	10%	8%	6%	4%

In the long term, we can expect a stable annual growth of 3%.

Costs and sales price levels remain stable in real terms per ton. The equipment seems to be sufficient to realize the production, just following the usual rule of thumb (annual net investment is 2% of the turnover each year). The equipment is depreciated at a rate of 5% per year.

1) Prepare the business plan.

2) What could be the value of the Spicy Micy Ltd. if you agree with Ms Micy's strategy and assumptions?

Assumptions regarding the valuation:

- *rA and WACC stabilize in the terminal value period at the 2029 level.*
- *D/V ratio stabilizes at 40% in the terminal value period.*
- *The growth rate in the TV period is 3%*
- *No value creation on newly invested capital in the terminal value period (RONIC=WACC).*